



ILLUSTRATION BY RAJ VERMA

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- Lower global growth pulled down by the heightened uncertainty of Trump's economic policies
- A sticky US Dollar and bond yields as tariffs and deportations induce inflationary pressures, and constrain the Fed from easing in the near term
- Increased levels of excess capacity from China that are directed to other economies (including India) as the US likely increases tariffs on China
- Lower crude and commodity prices in response to slowing global growth and more US "drilling"
- The prospect of bilateral tariffs imposed on India under Trump's "reciprocal tariff" threat

What playbook must Indian policymakers adopt to sustain high growth in this environment?

First, authorities should seek to ward off a trade war with the US. India's effective tariff differential with the US can be construed to be higher than the difference between the

weighted average tariff between the two economies (which amounts to a more modest 7 percentage points). This is because import volumes used to compute weighted average tariffs are impacted by the quantum of the tariff itself and therefore suffer from an endogeneity basis. A "simple average of tariffs" between the two economies or effective tariffs that are computed using global export shares, throw up a larger "effective tariff" differential of almost 15 percentage points.

Given this, the authorities must further reduce import tariffs—a theme pursued in the last two Budgets. Yes, in the near term this will potentially increase imports. But, in the medium term, lower tariffs increase the efficiency and productivity of domestic firms that must compete against cheaper imports, and boost exports.

Second, we must not be overly reliant on cyclical instruments such as fiscal and monetary policy to boost

growth. While the Budget focused on tax cuts, the central fiscal deficit is consolidating by 0.4% of GDP this year, which constitutes a tightening of policy. Lower inflation has given monetary policy much needed space to ease liquidity and rates. But the net impact of policy next year is still ambiguous as tighter fiscal policy confronts looser monetary policy.

The only antidote is to double down on structural reform—education, skilling, health, land, labour, power, deregulation. This is imperative for at least two reasons:

First, with fiscal deficits having to reduce and absorptive capacity limits being reached, public capex has likely peaked. The investment baton will have to be handed to India's private sector. But firing up private investment will necessitate some combination of demand visibility and animal spirits. The bar on the former is high given the excess capacity in China. The onus therefore falls on reforms that can spark animal spirits.

Second, since World War II, only 13 economies have grown at 7% or more for 25 years. They had one thing in common: high levels of global engagement. So, exports need to be an important pillar. But how to grow exports in a world that is becoming progressively deglobalised and balkanised? The only way is for India to increase its market shares in the global pie, which will entail much higher levels of competitiveness, brought about by sustained structural reform.

All told, persistent reforms are the surest way of building economic resilience. They are also the surest way of retaining control of our economic destiny, in a world likely to witness seismic heterodox economic shifts in the coming years. **BT**

Views are personal